TERMS & CONCEPTS · 1

Commitment

ANSWER · 1

A title insurer's conditional promise to issue a specified policy once certain requirements are met and subject to certain exceptions. It is NOT itself a policy and creates no liability until the transaction closes and the policy is issued.

TERMS & CONCEPTS · 2

Policy

ANSWER · 2

The final contract of indemnity issued at closing, insuring the owner or lender against covered title defects up to the policy amount, as of the policy date.

TERMS & CONCEPTS · 3

Exception

ANSWER · 3

An item listed in Schedule B of a commitment or policy that the insurer excludes from coverage (e.g., a specific easement, lien, or CC&R) because it showed up in the title search.

TERMS & CONCEPTS · 4

Requirement

ANSWER · 4

An item on Schedule B-I of a commitment that must be satisfied before the title company will issue the policy — e.g., pay off an existing lien, record a release.

TERMS & CONCEPTS · 5

Endorsement

ANSWER · 5

A form attached to a policy that modifies its coverage — usually expanding or clarifying it — for an additional premium.

TERMS & CONCEPTS · 6

Insurer / Underwriter

ANSWER · 6

The title insurance company that assumes the risk and stands behind the policy. The underwriter also sets the guidelines for what risks its agents may insure.

TERMS & CONCEPTS · 7

Chain of Title

ANSWER · 7

The chronological sequence of recorded documents (deeds, liens, releases) showing how ownership of a parcel has passed from one party to the next over time.

TERMS & CONCEPTS · 8

Closing and Settlement

ANSWER · 8

The process of finalizing a real estate transaction: signing documents, disbursing funds, and recording the conveyance so title passes to the buyer.

TERMS & CONCEPTS · 9

Title Agent

ANSWER · 9

A person or agency authorized by a title insurance company to solicit business, examine title, and issue policies on the underwriter's behalf.

TERMS & CONCEPTS · 10

Fiduciary Responsibilities

ANSWER · 10

The title agent's legal duty to handle client funds (earnest money, closing funds) with the highest good faith — keeping them separate from the agent's own money and using them only as instructed.

TERMS & CONCEPTS · 11

Search and Examination

ANSWER · 11

The two-step process of pulling every recorded document affecting a parcel (the search), then analyzing it to determine the state of title and what must be cleared before insuring (the examination).

TERMS & CONCEPTS · 12 EXAM-STYLE

Which form can modify or change a title insurance policy?

ANSWER · 12

Endorsement

Change an insurance policy = ENDORSEMENT.

An endorsement is a form that changes or adds to a policy's coverage. Colorado's rate regulations also address endorsements.

TERMS & CONCEPTS · 13 EXAM-STYLE

Which best defines "closing and settlement services"?

ANSWER · 13

Services for all necessary parties in a real estate transaction, including receiving and disbursing money

Two phrases: ALL NECESSARY PARTIES + RECEIPT/DISBURSEMENT OF MONEY.

C.R.S. §10-11-102(3.5) defines closing and settlement services as services for all necessary parties connected with selling, leasing, encumbering, mortgaging, or creating a secured interest in real property, including receiving and disbursing money associated with the transaction.

TERMS & CONCEPTS · 14 EXAM-STYLE

The purpose of a title commitment is to:

ANSWER · 14

Obligate the insurer to issue a policy once the stated requirements are satisfied

COMMITMENT = conditional promise to issue a policy. It is not coverage, and it runs to the proposed insured — not to "all parties."

Colorado consumer-protection rules require the commitment to disclose the record vested owner, exclude generic exceptions in an Owner's Policy commitment, and be updated before closing.

TERMS & CONCEPTS · 15 EXAM-STYLE

Closing and settlement services are best represented by:

ANSWER · 15

Receiving and disbursing the money of the parties

Money in and money out = CLOSING & SETTLEMENT. Search / commitment / policy = the insurance side.

C.R.S. §10-11-102(3.5) — services for all necessary parties connected with selling, leasing, encumbering, or mortgaging real property, including receiving and disbursing money.

TERMS & CONCEPTS · 16 EXAM-STYLE

Which title entity guarantees payment of a claim covered by a title insurance policy?

ANSWER · 16

The underwriter

AGENT issues the policy. UNDERWRITER pays the claim. PLANT is the records library.

C.R.S. §10-11-102 definitions — a title insurance company has the power to insure titles to real property; an agent is authorized to solicit, collect premiums, and issue or countersign policies on its behalf.